

10.5 STRADDLE OPTION STRATEGY



Explainer Video

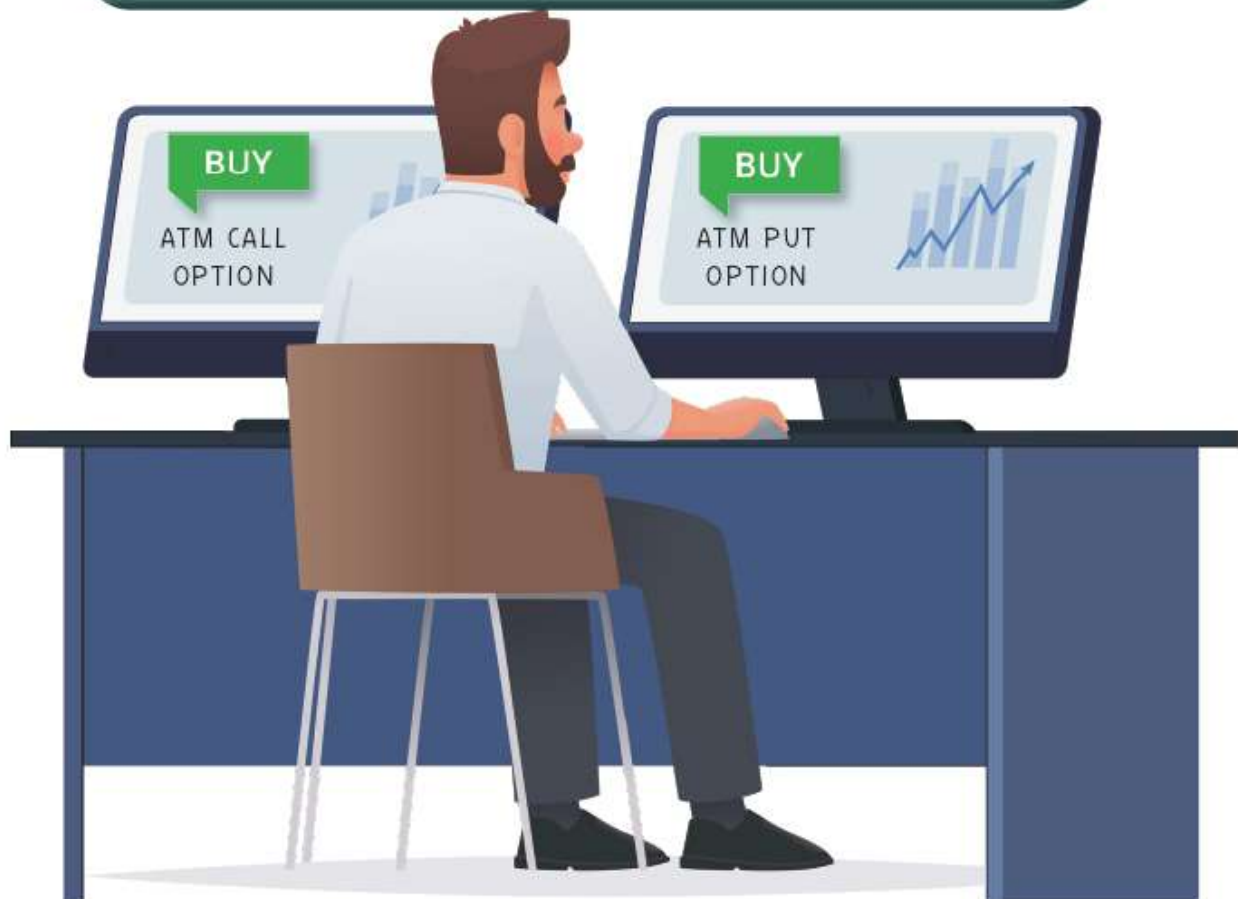
Straddle is another strategy used for trading purposes and not for hedging. We may either have Long Straddle or a Short Straddle.

LONG STRADDLE

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IN A LONG STRADDLE, YOU ARE BUYING AN ATM CALL AND AN ATM PUT OPTION AT THE SAME TIME AND ON THE SAME ASSET.

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The Strike Price of the two is also the same or very close to each other and even the time to expiry. The Lot size of both the options is also the same. The expectation here is that the market would move either way (up or down) with some significant movements.